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INTERNAL LEGAL RESEARCH MEMORANDUM

IN RE:	*S. Bradley Mell*
Case No.:	26-16834-EJO
Court:	United States Bankruptcy Court District of New Jersey
Hearing:	July 16, 2026
Before:	Hon. Eamonn J. O'Hagan
Subject:	Opposition to Motion to Dismiss (Doc. 8); Automatic Stay Relief; Mandatory Abstention
Date:	June 29, 2026
Distribution:	Legal Team — INTERNAL USE ONLY

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In re S. Bradley Mell, Case No. 26-16834-EJO (Bankr. D.N.J.)

Opposition to Motion to Dismiss (Doc. 8)

Prepared for: Anthony Sodono III, Esq. / Sari Blair Placona, Esq. **McManimon, Scotland & Baumann LLC Date:** June 28, 2026 **Hearing:** July 16, 2026 — Hon. Eamonn J. O'Hagan, U.S.B.J.

EXECUTIVE SUMMARY

Bruce H. Nagel of Nagel Rice LLP filed Doc. 8 on June 23, 2026, eleven days after Steven Bradley Mell filed a voluntary Chapter 7 petition and three days after trial in the underlying state court tort action had been set to begin. The motion simultaneously seeks: (1) dismissal under 11 U.S.C. § 707(a) for alleged bad faith; (2) a declaration of nondischargeability under § 523(a)(6); (3) relief from the automatic stay under § 362(d)(1); and (4) abstention under what Nagel cites as 28 U.S.C. § 1134(c)(1) and (c)(2) — a statute that does not exist. Each request fails independently.

On § 707(a): The Third Circuit in *In re Tamecki*, 229 F.3d 205 (3d Cir. 2000), limits bad faith dismissal to "egregious cases" involving concealed assets, lavish lifestyles, and intent to avoid a single large debt through conduct akin to fraud or gross negligence. Brad disclosed every asset in his filed schedules — including the $750,000 sitting in Nagel's own trust account (Schedule A/B, Line 35), his retirement accounts, and every creditor including Nagel Rice LLP itself (Schedule E/F, Line 4.8). His monthly income is $3,500 from his brother; his monthly expenses are $4,552; his monthly deficit is negative $1,052. He has twelve creditors. He has no employment. He filed from P.O. Box 835, Far Hills, New Jersey — his mailing address. Since his release from federal custody in December 2024, he has resided at a friend's property in New Jersey at a below-market rate, an arrangement made possible by the generosity of the property owners and his brother Courtney Mell's financial support from Florida. The Glunk five factors are not merely unsatisfied; they are affirmatively contradicted by the record.

Nagel's lead case — *In re Murray*, 900 F.3d 53 (2d Cir. 2018) — is an involuntary bankruptcy filed by a creditor, not a voluntary case filed by a debtor. *Murray* held that "bankruptcy is not a judgment enforcement device" and condemned the creditor's abuse of the bankruptcy process. That sentence describes Nagel's motion — filed by a party who is simultaneously counsel for B.B. and a listed creditor of this estate at Schedule E/F, Line 4.8 — not Brad's filing.

The manufactured insolvency argument runs against Nagel, not Brad. Nagel obtained a 100%

prejudgment attachment in January 2020 that froze every dollar Brad owned, including ERISA-protected retirement funds. Brad's motions to vacate or modify the attachment were never granted. He was sanctioned $8,000 for asking for access to his own funds. He could not meet basic living expenses. Nagel then added ten more defendants to the case — including Brad's own children as defendants — transforming a two-party tort action into a sprawling multi-defendant litigation that consumed 2,100 days of discovery and required an interlocutory appeal Nagel himself filed in 2021, argued November 2022, and not decided until December 31, 2024. Summary judgment was denied on both sides on May 15, 2026 — 28 days before the bankruptcy filing. Trial was set for June 15, 2026 — three days after the petition date. Nagel manufactured the conditions that made this bankruptcy inevitable.

On § 523(a)(6): The relief is procedurally defective on its face. Fed. R. Bankr. P. 7001(6) requires a dischargeability determination to be brought as an adversary proceeding. Nagel filed a motion in the main case. No adversary proceeding exists. On the merits, the controlling factual precedent is *Lewis v. Long (In re Long)* — a case litigated through four opinions from 2014 to 2016 — in which a debtor convicted of carnal knowledge of a 12-year-old victim, with whom he fathered a child, obtained a Chapter 7 discharge because the creditor could not prove subjective intent to injure under § 523(a)(6). Long's convictions under Virginia's strict liability statute, and his signed admission of "intentional torts" in a $1,254,000 promissory note, were more direct than anything in Brad's record — yet discharge was granted. Nagel cannot satisfy here what the *Long* creditor could not satisfy on stronger facts. *Kawaauhau v. Geiger*, 523 U.S. 57, 61 (1998), forecloses inferring intent to injure from the nature of the act. Neither of Brad's two criminal pleas — one federal, one state — required proof of intent to injure B.B. The "partial summary judgment" was a discovery sanction for Fifth Amendment invocation during parallel criminal proceedings — the Appellate Division called it "interlocutory and not a final judgment" in footnote 2 of its December 31, 2024 opinion. No court ever made a finding of intent to injure. The creditor's own expert (Dr. Dawn Hughes) proves the fact of injury but offers no opinion on Brad's subjective mental state — leaving the second required element of the § 523(a)(6) test without evidentiary support. Hughes also identifies an independent sexual assault at school as a clinically recognized traumatic event without performing any apportionment analysis, leaving causation of the claimed harm further in dispute.

On the stay violation: On June 18, 2026 — three days after Nagel's partner acknowledged the bankruptcy filing to the Bankruptcy Court — Michael Paragano of Nagel Rice emailed Brad directly to assert control over property of the estate. This was a willful violation of 11 U.S.C. § 362(a) under *In re Lansaw*, 853 F.3d 657 (3d Cir. 2017). The filing of Doc. 8 does not remediate the pre-existing stay violation; it compounds the inequity of rewarding the violator with the relief it seeks.

On abstention: The § 523(a)(6) nondischargeability determination is a core proceeding under 28 U.S.C. § 157(b)(2)(I). Mandatory abstention is categorically unavailable for core proceedings. *Stoe v. Flaherty*, 436 F.3d 209, 213 (3d Cir. 2006). Nagel's cited statute — § 1134 — does not exist in Title 28. Permissive abstention would not serve judicial economy: the Court must adjudicate the § 523(a)(6) claim, the § 707(a) motion, and the stay violation regardless. Sending only the damages question to state court serves no one.

The undisclosed settlement: Nagel's motion rests its trust-fraud narrative on the KRM Trust and SBM Trust. Nagel does not disclose that his own firm, on behalf of B.B., executed a Full and Final Settlement Agreement and Mutual Release with those same trusts in March 2026 containing a broad forward-looking release of all current and future claims against any assets held by either trust on any judgment. KRM & SBM Release (Mar. 6, 2026) ¶ 3. That release bars the very collection theory underlying the motion. The settlement amount is subject to a confidentiality provision. Paragraph 10 of the settlement agreement permits sealed disclosure to any court of law for purposes of enforcement. The settlement amount and operative release language are required disclosures under N.J. RPC 3.3(a)(5), and should be presented under seal at the appropriate time with an appropriate protective order preserving the confidentiality protections designed to shield the trust beneficiaries — Brad's children — from further vexatious litigation.

SECTION 1: PRELIMINARY STATEMENT

Steven Bradley Mell filed a voluntary Chapter 7 petition on June 12, 2026. He is a recently released federal prisoner with no employment, no income beyond $3,500 per month in discretionary support from his brother, a monthly deficit of negative $1,052, and twelve creditors holding claims totaling approximately $1.83 million. His assets consist primarily of ERISA-exempt retirement accounts and $750,000 held in the attorney trust account of the firm now moving to dismiss his case. He disclosed every one of these assets under penalty of perjury, disclosed every creditor, disclosed every prior address — including FCI Fort Dix and the Kintock Newark halfway house — and filed comprehensive schedules that represent the antithesis of the concealment, misrepresentation, and lavish lifestyle that *Tamecki* identifies as the hallmarks of bad faith.

Nagel filed Doc. 8 on June 23, 2026, asking simultaneously for dismissal, a nondischargeability declaration, stay relief, and abstention. These requests are internally irreconcilable: if the case is dismissed, there is no discharge to except a debt from; if a § 523(a)(6) declaration is entered, the case was not dismissed; if the Court abstains and returns the matter to state court, it cannot simultaneously make the "willful and malicious injury" finding that § 523(a)(6) requires. The motion assembled these four forms of relief without disciplining their internal logic.

Several features of Doc. 8 require attention before the merits are reached.

Nagel is a creditor of this estate. Nagel Rice LLP holds a $10,000 sanctions claim against Brad arising from the state court litigation. That claim is listed at Schedule E/F, Line 4.8, identified by name and address. Nagel is simultaneously counsel for B.B. and a creditor in his own right. A creditor-attorney with a pecuniary stake in the outcome is not a neutral officer of the court on this motion.

The § 1134 citation error. Nagel cites "28 U.S.C. § 1134(c)(2)" and "28 U.S.C. § 1134(c)(1)" as the bases for his abstention arguments. Those provisions do not exist in Title 28. The abstention provisions governing bankruptcy proceedings are at 28 U.S.C. § 1334(c)(2) (mandatory) and § 1334(c)(1) (permissive). This error appears twice in Doc. 8-1 and infects the entire abstention argument.

The Murray inversion. Nagel's lead § 707(a) case — *In re Murray*, 900 F.3d 53 (2d Cir. 2018) — is an involuntary case in which the Second Circuit condemned a creditor's abuse of the bankruptcy process as a judgment enforcement device. That characterization fits this motion precisely. The full analysis is at Section A.2.

The settlement omission. Nagel's Statement of Facts devotes substantial pages to characterizing the KRM and SBM Trusts as fraudulent transfer vehicles through which Brad sheltered assets. Nagel does not disclose that he personally negotiated a Full and Final Settlement Agreement and Mutual Release with those same trusts in March 2026, that his firm received value as part of that settlement, and that the settlement contains a broad forward-looking release of all current and future claims against any assets held by either trust on any judgment obtained against Brad. KRM & SBM Release (Mar. 6, 2026) ¶ 3. The settlement agreement's paragraph 10 expressly permits disclosure to a court of law in a sealed envelope. Nagel elected not to make that disclosure while relying on the trust-fraud narrative as the centerpiece of his bad-faith argument. This raises a material question under N.J. RPC 3.3(a)(5) and Fed. R. Bankr. P. 9011(b)(3).

SECTION 2: STATEMENT OF FACTS

A. Steven Bradley Mell and the 2012 Trusts

Steven Bradley Mell is a New Jersey resident and former principal of Gulfstream Capital Management LLC, a private investment and asset management firm. Through Gulfstream and related entities, he managed investments and operated Aero Care Services, LLC, a charter aviation business that owned two aircraft. He and his then-wife Kimberly Ruggles Mell maintained a family home in Bedminster, New Jersey, and raised three children.

In December 2012, Brad and Kimberly executed two estate planning instruments that became the focus of Nagel's trust-fraud allegations: the Steven Bradley Mell 2012 Family Trust (the "SBM Trust") and the Kimberly Ruggles Mell 2012 Family Trust (the "KRM Trust"), both executed on December 18, 2012. The most legally significant fact about these trusts is their timing. The first sexual encounter between Brad and B.B. did not occur until June 20, 2017. The trusts predate any cognizable debt to B.B. by approximately four years and six months.

The SBM Trust designated Brad as the grantor and Kimberly Ruggles Mell as the trustee. The beneficiaries were Kimberly and Brad's three children. Brad was never a beneficiary of the SBM Trust. The KRM Trust designated Kimberly as the grantor, with independent trustees, and Brad's three children as beneficiaries. B.B. confirmed at her July 3, 2025 deposition that she "had no clue of when, how, or why the Trusts were set up" and had "no knowledge on those trusts" prior to this litigation. B.B. Dep. (July 3, 2025) at 22:12-16.

Under 11 U.S.C. § 548(a)(1), the two-year lookback for federal fraudulent transfer avoidance runs from June 12, 2026 back to June 12, 2024. The 2012 trust formations are fourteen years outside that window. Under the New Jersey Uniform Voidable Transactions Act, N.J.S.A. 25:2-25 et seq., the actual fraud prong theoretically reaches future creditors but requires proof that Brad formed the trusts in December 2012 with actual intent to hinder or defraud someone he would not meet for another three years. Brad's SOFA, signed under penalty of perjury, confirms no transfers to self-settled trusts within the ten-year lookback from June 12, 2026 — a window that reaches back only to June 12, 2016, four years after the trusts were established. SOFA Part 7, Line 19.

The January 2026 Summary Judgment Record — Asset by Asset

On January 15, 2026, both trusts filed motions for summary judgment in ESX-L-7200-19. Patrick J. Whalen, Esq. filed for the SBM Trust (Trans ID: LCV2026127340); A. Ross Pearlson and Craig M. Wagenblast of Chiesa Shahinian & Giantomasi PC filed for the KRM Trust (Trans ID:

LCV2026117428), returnable March 20, 2026. Together the motions submitted 68 numbered statements of undisputed material fact, supported by deposition transcripts, trust instruments, deed records, closing statements, and bank records. The record those motions built covers every asset Nagel characterizes as fraudulently sheltered.

Trust formation. Both trusts were formed December 18, 2012. Brad testified under oath at his September 2021 deposition that he formed them "for estate planning purposes and to support his children." Brad Mell Dep. (Sept. 22, 2021) at 160:9-24. Kim Mell testified identically. Kim Mell Dep. (Oct. 6, 2021) at 149:20-150:17; 116:13-25. The trust instruments confirm this in plain text: Article 3A of both agreements restricts distributions to "health, education, maintenance and support" of the children and their issue. Brad was never a beneficiary of the SBM Trust. B.B. herself — after six full years of discovery — testified at her July 3, 2025 deposition that she had never heard of the KRM Trust before this lawsuit (B.B. Dep. at 23:2-9) and "had no clue of when, how, or why the Trusts were set up." B.B. Dep. at 173:3-14. A debtor does not conceal assets in trusts the allegedly defrauded creditor has never heard of, that predate any debt by four and a half years, and that name the debtor's children — not the debtor — as sole beneficiaries.

The Bedminster home. The home at 620 Black River Road, Bedminster, was transferred to the KRM Trust (70%) and SBM Trust (30%) in December 2012, confirmed by the recorded deeds. MSA Section 7.1(d) expressly designates it as trust property — not a marital asset. It was sold in April 2019 to an unrelated, non-insider third party pursuant to the MSA. B.B.'s Second Amended Complaint contains no allegation of a below-market-value sale. Closing documents confirm arm's-length proceeds distributed consistent with ownership percentages.

The aircraft. Brad transferred his interest in Aero Care Services LLC to the SBM Trust in December 2012 — five years before any encounter with B.B. Two aircraft were sold during the litigation: the Hawker 800XP to Hoover Aviation LLC for $2.45 million on September 14, 2018; the Beech Super King Air B200 to Trekker Holdings LLC/Puerto Rico Wire Services Inc. for $1.5 million on October 23, 2018. Both buyers were unrelated third parties. After loan payoffs to Salem Five Cents Savings Bank ($1,932,159.37 on the Hawker; $448,485.86 on the Beech), net proceeds were deposited in the SBM Trust bank account. B.B. alleged no below-market-value sale on either aircraft and could not: the buyers, the prices, and the loan payoffs are documented by third-party closing records submitted as Exhibits 9 and 10 to the Whalen Certification.

The boat. MSA Section 5.3 documents that the KRM and SBM Trusts loaned approximately $590,000 to Brad and Kim to purchase a Regulator 41 boat in July 2016, secured by a bank loan on the Bedminster residence. When the boat was sold in October 2021, the Trusts were entitled to loan repayment. On October 29, 2021 — two days after the sale — Whalen filed a letter with the state court at Trans ID LCV20212530613 affirmatively notifying both the court and plaintiff's counsel of the sale and the application of proceeds to the outstanding loan obligation. Trust counsel self-reported the transaction in real time to Nagel himself. Fraudulent concealment does not announce itself to opposing counsel.

The $100,000. On September 26, 2019, $100,000 moved from one SBM Trust bank account to a different SBM Trust investment account. Kim Mell testified the purpose was to "make money grow." Kim Mell Dep. at 128, 132, 137-138. The funds never left the SBM Trust. Movement between accounts within the same trust entity is not a "transfer" by a "debtor" under the NJUVTA, N.J.S.A. 25:2-25(a): the SBM Trust was neither a debtor to B.B. nor a transferor to any third party.

What Nagel produced after 2,100 days. Against this documented record — trust formation instruments, sworn deposition testimony from Brad, Kim, and B.B. herself, recorded deeds, third-party closing statements, bank records, and the MSA — Nagel filed no opposition to either SJ motion. He submitted no responsive statement of material facts. He designated no expert on NJUVTA fraudulent transfer. He took no deposition of the attorneys who drafted the trust instruments. He obtained no document, testimony, or financial record establishing that any asset was transferred below market value, that Brad received trust assets for his personal benefit, or that either trust was formed with actual fraudulent intent under N.J.S.A. 25:2-25(a)(1). After six years of litigation and 2,100 days of discovery, the fraud narrative that anchors Doc. 8 had produced zero evidence.

Rather than contest the motions, Nagel settled. His firm executed the Full and Final Settlement Agreement and Mutual Release with both trusts on March 4-6, 2026. Dismissals with prejudice were signed by Paragano on behalf of Nagel Rice LLP on March 16-18, 2026. KRM Dismissal (Mar. 17, 2026) (Paragano signature). The settlement obtained a forward-looking release of "any current or future claims related to efforts to collect against any assets currently held by or in the possession of the KRM Trust or the SBM Trust on any judgment." KRM & SBM Release (Mar. 6, 2026) ¶ 3. When a plaintiff settles fraudulent transfer claims after six years of discovery rather than proceed to hearing, the decision to settle is the plaintiff's own assessment that the evidence is insufficient.

Doc. 8 was filed five months later without disclosing any of this. Fed. R. Bankr. P. 9011(b)(3) requires that factual contentions presented to a federal court "have evidentiary support." The trust-fraud contentions in Doc. 8 have none — as established by Nagel's own discovery, his own failure to oppose the SJ motions, his own settlement, and his own partner's signatures on the dismissals with prejudice.

B. Brad's Criminal Matter and Subsequent Release

Brad's criminal conviction is established by the record. His consistent position — which was never adjudicated on its merits — is that his relationship with B.B. involved conduct that was legally non-consensual by operation of New Jersey and federal age-of-consent law, but that he did not engage in predatory manipulation, coercion, or targeted grooming. He was not convicted of any count requiring a finding of predatory intent.

Brad's consistent and vigorously maintained position is that sexual conduct did not occur before B.B.'s 16th birthday on August 2, 2017. Nagel contends otherwise. That dispute has never been adjudicated as a factual finding in any proceeding; no court has ever made a finding on this specific question, and Brad's § 2255 motion — which directly raised it in the context of the New York trip on August 23, 2017, after B.B.'s birthday — was not adjudicated on the merits.

The established facts are as follows. Contact between Brad and B.B. began in approximately 2015. The 34 encounters documented in the record occurred between June 20, 2017 and November 17, 2017. In December 2017, the matter was reported to law enforcement. Brad was arrested in May 2018. He entered a federal plea on May 13, 2019, pleading guilty to: Count 1 — receipt of child pornography in violation of 18 U.S.C. § 2252A(a)(2); and Count 2 — interstate travel for illicit sexual conduct in violation of 18 U.S.C. § 2423(b). He was sentenced on June 17, 2019 to 84 months' imprisonment with five years of supervised release. He served at FCI Fort Dix, Burlington County, New Jersey, was transferred to the Kintock Newark Halfway House, 50 Fenwick Street, Newark, on November 13, 2024, and was released on December 13, 2024. SOFA Part 1.

Brad's Megan's Law tier assessment resulted in a Tier 1 classification — the lowest risk designation, reserved for registrants the State has determined pose minimal risk of reoffense. His prior addresses on the SOFA — FCI Fort Dix, Kintock Newark, and P.O. Box 835, Far Hills, New Jersey (his mailing address; his brother Courtney resides in Florida) — are precisely the addresses expected of a recently released federal prisoner and raise no inference of suspicious conduct. His SOFA reflects no income from employment or business for the current year or either prior year; no payments to any creditor above applicable thresholds within 90 days; no insider payments within one year; no property transfers within two years; no closed financial accounts within one year; no offshore accounts. SOFA Parts 1-7, 11.

C. The Civil Action and the Attachment

On October 2, 2019, B.B., through Bruce Nagel and Nagel Rice LLP, filed a civil complaint in the Superior Court of New Jersey, Law Division, Essex County, Docket No. ESX-L-7200-19. The scope of that action evolved dramatically over time as Nagel added defendant after defendant: KRM Trust, SBM Trust, Gulfstream CM, Gulfstream GM, Aero Care, Emily Mell, Eliza Mell, Kimberly Mell, W.H. Mell Associates, and Mountainside Securities — including Brad's own children as defendants. By May 15, 2026, every single additional defendant had settled out. As Paragano stated at the May 15, 2026 hearing: "we've settled with everyone . . . except for Mr. Mell. That's the only remaining defendant left." Tr. at 21-22 (May 15, 2026). A more disciplined litigation strategy would have focused on Brad and then pursued collection remedies. Nagel's sprawling multi-defendant approach consumed years that a focused case would not have required.

On January 27, 2020, the trial court entered a prejudgment writ of attachment against Brad. That attachment froze 100% of Brad's assets — including his ERISA-protected retirement funds. No published case has been found supporting attachment of 100% of an individual defendant's assets, including ERISA-qualified retirement accounts that are categorically exempt from creditor process under federal law. The attachment rested on the same unsupported fraud allegations that appear throughout Doc. 8.

The consequences of the 100% attachment were severe and continuous. Brad filed multiple motions to vacate or modify the attachment to access funds for basic living expenses. Those motions were never granted. Not one produced any access to any funds. Brad sought court permission to withdraw from his 401k — even with the applicable tax penalty — to meet basic needs. Nagel vehemently opposed every such request. Brad was sanctioned $8,000 for making these requests. He could not access ERISA funds even under penalty of early withdrawal. He could not transfer funds within his 401k account to allow them to grow — a significant opportunity loss in a strong bull market. He could not cover his monthly basic living expenses. He lived on his brother Courtney's discretionary goodwill. The 100% attachment, maintained for more than six years, is the structural cause of Brad's bankruptcy.

On March 26, 2021, the trial court entered a partial summary judgment on liability on certain counts of the First Amended Complaint. The Appellate Division characterized this order in footnote 2 of its December 31, 2024 opinion as "interlocutory and not a final judgment," further noting: "It is not clear from the record whether Mell responded to the summary judgment motion." Appellate Division Op. (Dec. 31, 2024) at fn. 2. This order — entered on what appears to have been a discovery sanction record under N.J. Court Rule 4:23-5(a)(2) against a defendant who was simultaneously defending a federal criminal prosecution and had invoked his Fifth Amendment rights — is not a merits adjudication of willful and malicious injury within the meaning of § 523(a)(6).

The multi-year gap between the 2019 filing and the June 2026 trial date is the period Nagel now characterizes as Brad's strategic delay. The record tells the opposite story. Nagel filed an interlocutory appeal — Docket No. A-2990-21 — challenging the trial court's deposition scope ruling during B.B.'s deposition. The appeal was argued before Judges Accurso, Firko, and Natali on November 10, 2022. The Appellate Division did not issue its decision until December 31, 2024 — more than two years after argument. The court's ruling was largely a ratification of the trial court's scope ruling with a minor modification to the protective order. The trial date of June 2026 was set only after the December 2024 decision allowed the case to proceed. The December 2024 decision came approximately 18 months before the bankruptcy filing — it does not fully account for all the delay; the preceding five years of multi-defendant litigation sprawl account for the rest.

Meanwhile, as Ms. Guida noted at the May 15, 2026 hearing, despite "over 2100 days of discovery in this case," nothing substantiating the claims against the parents was produced. Tr. at 17 (May 15, 2026). Discovery on the sprawling multi-defendant case Nagel had constructed ran for years before it narrowed back to Brad alone.

The May 15, 2026 hearing before Judge Robert H. Gardner, J.S.C. was dispositive on several issues. Cross-motions for summary judgment between Brad and the parent defendants D.D. and E.E. were both denied on the merits. Tr. at 33-34 (May 15, 2026). Judge Gardner found that the parents' conduct does not fall neatly within the parental authority/customary child care exception, that the willful/wanton standard was a jury question, and that CSAA acquiescence was a jury question. That hearing was 28 days before Brad filed his Chapter 7 petition. Trial was set for June 15, 2026.

Brad filed the Chapter 7 petition on June 12, 2026 — three days before trial was scheduled to begin.

D. The March 2026 Trust Settlement

While the state court action was pending, Nagel Rice, on behalf of B.B., negotiated and executed a Full and Final Settlement Agreement and Mutual Release with the KRM Trust, the SBM Trust, and the Trust Beneficiaries. The settlement agreement was executed in counterparts between March 4 and March 6, 2026. KRM & SBM Release (Mar. 6, 2026).

The settlement amount is the subject of a confidentiality provision in the agreement. Paragraph 10 of the settlement agreement expressly permits sealed disclosure to any court of law for enforcement purposes. The amount should be placed before the Court under seal with an appropriate protective order; the release language and the fact of settlement belong in the record at the July 16, 2026 hearing.

The operative release language states that each party "shall knowingly and voluntarily remise, release, and forever discharge each other Party" from "all actions, causes of action, suits, debts, dues, sums of money, accounts, costs, expenses, liabilities or causes of action whatsoever . . . as well as any current or future claims related to efforts to collect against any assets currently held by or in the possession of the KRM Trust or the SBM Trust on any judgment that any Party may obtain against any other individual or entity in connection with the Lawsuit." KRM & SBM Release (Mar. 6, 2026) ¶ 3. This forward-looking release bars B.B. from pursuing trust assets as a collection vehicle for any judgment obtained against Brad. It is a specifically negotiated provision addressing precisely the collection theory Nagel's motion attempts to advance through the bankruptcy court.

The KRM Trust was dismissed from the state court action on March 16, 2026. The SBM Trust was dismissed on March 18, 2026.

Nagel filed Doc. 8 on June 23, 2026. The motion's Statement of Facts characterizes the KRM and SBM Trusts as fraudulent mechanisms for asset sheltering. It does not disclose the March 2026 settlement. It does not disclose the release of "any current or future claims" against trust assets. It does not disclose that the trust summary judgment motions — filed January 15, 2026 and supported by 68 numbered undisputed facts covering every asset the trusts hold — were not opposed by Nagel, who filed no response, no countering statement of material facts, and no expert disclosure of any kind. It does not disclose that Nagel settled those motions rather than contest them, obtaining dismissals with prejudice signed by his own partner Paragano, after six years of discovery produced nothing. The agreement expressly contemplated court disclosure: paragraph 10 permits any party to "disclose a copy of this Agreement to a Court of Law, in a sealed envelope marked 'Confidential,' for the purpose of enforcing the terms of this Agreement or effectuating any of the purposes and obligations stated herein." KRM & SBM Release (Mar. 6, 2026) ¶ 10. That Nagel elected not to make this disclosure while relying on the trust-fraud narrative raises serious questions under N.J. RPC 3.3(a)(5) and Fed. R. Bankr. P. 9011(b)(3).

E. The Bankruptcy Filing

On June 12, 2026, Brad filed a voluntary petition for relief under Chapter 7 of the Bankruptcy Code. Doc. 1. On June 25, 2026, Brad filed complete schedules, a statement of financial affairs, means test form, statement of intention, and all required attachments — forty-one pages of financial disclosure signed under penalty of perjury.

Brad's monthly income is $3,500 — discretionary support from his brother Courtney Mell. Schedule I. Monthly expenses total $4,552. Schedule J. The monthly deficit is negative $1,052. Schedules I/J. Brad is not employed. He has no wages, business income, rental income, investment income, Social Security, pension, or government assistance. The retainer for bankruptcy counsel was paid by his brother.

Brad's disclosed assets include ERISA-protected retirement accounts totaling approximately $1,090,000, fully exempt under 11 U.S.C. § 522(d)(12) and unavailable to any creditor regardless of outcome. He also discloses $750,000 in attached funds held in the Nagel Rice LLP attorney trust account, identified specifically by the firm's name. Schedule A/B, Line 35. A 1995 Ferrari 355 is listed at approximately $75,000. Schedule A/B. The twelve listed creditors include: IRS with a $300,000 priority claim (Schedule E/F, Line 2.1); Kimberly Mell with a $200,000 priority domestic support obligation (Schedule E/F, Line 2.2); the New Jersey Division of Taxation with a $75,000 priority claim (Schedule E/F, Line 2.3) — the three priority creditors totaling approximately $575,000. Nagel Rice LLP is listed at Schedule E/F, Line 4.8, with a $10,000 sanctions claim. B.B.'s claim is listed as unknown, contingent, unliquidated, and disputed.

The means test result is unambiguous. Form 122A-1 reflects current monthly income for CMI purposes at zero — the brother's support payments are not counted under 11 U.S.C. § 101(10A). Against the New Jersey median household income of $87,173, no presumption of abuse arises.

SECTION 3: ARGUMENT

A. THE § 707(a) MOTION TO DISMISS MUST BE DENIED

1. The Governing Standard

Section 707(a) of the Bankruptcy Code provides that a court may dismiss a case for "cause," and the Third Circuit has held that a debtor's lack of good faith may constitute such cause. *In re Tamecki*, 229 F.3d 205, 207 (3d Cir. 2000). But *Tamecki* cabins this doctrine tightly: it applies only to "egregious cases" involving "concealed or misrepresented assets and/or sources of income, and [lavish] lifestyles and the intention to avoid a large single debt based upon conduct akin to fraud, misconduct or gross negligence." *Id.* The Third Circuit in *In re Perlin*, 497 F.3d 364, 369 (3d Cir. 2007), added the essential limiting corollary: "A debtor's ability to repay is not in and of itself sufficient proof of bad faith." Together, *Tamecki* and *Perlin* establish a gate that is deliberately set high. Nagel does not come close to clearing it.

The burden framework under *Tamecki* operates as follows: once a movant raises a colorable bad faith challenge, the burden shifts to the debtor to demonstrate good faith; if the debtor produces credible evidence of good faith, the burden shifts back to the movant to prove bad faith by the egregious standard. *Id.* at 207. Brad's comprehensive, verified financial disclosures — filed within the Court's OSC timeframe, disclosing every asset including the $750,000 in Nagel's own trust account (Schedule A/B, Line 35), every creditor including Nagel Rice LLP (Schedule E/F, Line 4.8), and every prior address including FCI Fort Dix (SOFA Part 1) — satisfy the debtor's initial burden fully. The burden is now on Nagel to show egregiousness. He cannot.

2. Nagel's Lead Case Condemns His Motion

Nagel cites *In re Murray*, 543 B.R. 484 (Bankr. S.D.N.Y. 2016), *aff'd*, 900 F.3d 53 (2d Cir. 2018), as authority supporting bad faith dismissal of a voluntary Chapter 7 petition. *Murray* is an involuntary bankruptcy case. Wilk Auslander LLP, Murray's former employer, filed an *involuntary* Chapter 7 petition against Murray after obtaining a damages judgment — as a device to collect that judgment in a two-party dispute. The Second Circuit affirmed dismissal of the involuntary petition because the petitioning creditor had abused the bankruptcy process: "bankruptcy is not a judgment enforcement device." *In re Murray*, 900 F.3d at 60.

When *Murray*'s holding is accurately applied, it cuts sharply against Nagel. This motion — filed by a party who is simultaneously counsel for B.B. and a listed creditor of this estate (Schedule E/F, Line 4.8), who holds physical custody of $750,000 in attached estate funds in his own firm's trust account — is precisely the kind of judgment enforcement mechanism *Murray* condemned. Nagel seeks to dissolve the orderly Chapter 7 distribution process and restore the state court collection proceeding where he, uniquely, controls the funds. *Murray* says that is not a legitimate use of the bankruptcy system. When Nagel cited *Murray*, he appears not to have read it carefully enough to see that it described his own motion.

Additional recent authority squarely on point: *In re Trainor*, No. 25-11154-1-PGR (Bankr. N.D.N.Y. Mar. 4, 2026), denied § 707(a) dismissal and held that "the fact that a debtor files a chapter 7 solely to avoid the large debt of a single creditor . . . is not enough to warrant dismissal under § 707(a)." *In re Adler*, 673 B.R. 109 (Bankr. S.D.N.Y. 2025), denied § 707(a) dismissal where a single disputed creditor claimed $90 million and the debtor had made complete disclosures. *In re Hunt*, 521 B.R. 479 (Bankr. M.D. Pa. 2014), denied dismissal where the debtor had three luxury vehicles and a boat and owed 83% of his total debt to a single creditor — a far more concentrated, lavish profile than Brad's.

3. The Glunk Factors: Brad Satisfies None

The five-factor bad faith test articulated in *In re Glunk*, 342 B.R. 717, 734 (Bankr. E.D. Pa. 2006), requires analysis of: (1) lavish lifestyle and ability to repay; (2) a single disproportionate creditor whose debt arises from fraud, misconduct, or gross negligence; (3) forum shopping and state court evasion; (4) prepetition fraudulent conduct; and (5) fundamentally unfair result to other creditors. Brad satisfies none.

Factor 1 — Lavish Lifestyle. Brad's monthly income is $3,500. His monthly deficit is negative $1,052. He resides at a friend's property in New Jersey at a below-market rate — an arrangement made possible by the generosity of the property owners and his brother Courtney Mell's financial support from Florida. He is a recently released federal prisoner with no employment and no independent income source. *Perlin* forecloses ability-to-pay as a standalone basis for dismissal, and here there is no ability to pay even if that were the standard. His retirement accounts are exempt under 11 U.S.C. § 522(d)(12) — exempt assets do not become available because a creditor wants them. *In re Azeglio*, 422 B.R. 490, 497 (Bankr. D.N.J. 2010) (two-party dispute does not equal bad faith; genuine debt crisis satisfies good faith requirement).

Factor 2 — Single Creditor Disproportionate. Brad has twelve creditors. B.B.'s claim is unknown, contingent, unliquidated, and disputed. Priority creditors — the IRS ($300,000), Kimberly Mell DSO ($200,000), NJ Division of Taxation ($75,000) — total approximately $575,000 in claims that take statutory priority over B.B.'s claim under 11 U.S.C. § 507. This is not a single-creditor case. The IRS and Kimberly Mell have been waiting years to be paid on claims that cannot be paid because Nagel's 100% attachment froze every dollar.

Factor 3 — Forum Shopping. The forum shopping argument inverts the actual record. The federal bankruptcy court is not an alternative forum Brad selected to escape an adverse result — it is the only forum where a § 521/727 discharge can be obtained and where the § 523(a)(6) dischargeability determination must be adjudicated. Congress placed that determination here exclusively. 28 U.S.C. § 157(b)(2)(I); Fed. R. Bankr. P. 4007. Filing in the district of one's residence for the relief Congress designated to that court is the definition of proper forum selection, not manipulation.

The more pressing forum-related question is who actually shaped the trajectory of litigation in ESX-L-7200-19 and why. The answer is Nagel, at every decisive moment, in ways that maximized asset freeze duration and guaranteed Brad's financial destruction.

The January 2020 attachment was Nagel's first move. Within months of filing the complaint, Nagel obtained a 100% prejudgment writ of attachment against Brad — not a targeted freeze of specific assets, but every dollar Brad owned, including ERISA-protected retirement funds that federal law categorically exempts from creditor process. No published New Jersey case supports attaching 100% of a defendant's assets inclusive of ERISA-qualified accounts. The attachment's practical function was not to preserve assets pending judgment — it was to ensure Brad could not fund a defense, pay living expenses, pay other creditors, or take any financial action without Nagel's permission. Six years of that attachment made this bankruptcy mathematically inevitable.

Nagel then maximized case complexity to maximize freeze duration. Rather than litigate a two-party tort case against Brad, Nagel added ten additional defendants over the course of the litigation: KRM Trust, SBM Trust, Gulfstream Capital Management CM, Gulfstream Capital Management GM, Aero Care Services LLC, Emily Mell, Eliza Mell, Kimberly Mell, W.H. Mell Associates, and Mountainside Securities — including Brad's own children as named defendants. As Paragano himself acknowledged at the May 15, 2026 hearing, by that date "we've settled with everyone… except for Mr. Mell. That's the only remaining defendant left." Tr. at 21-22. All that expansion — all those years, all that discovery, all those parties — produced a case that ended as the two-party dispute it should have been from the start. The multi-defendant structure consumed years that a focused case would not have required and kept the 100% attachment in place throughout.

Discovery consumed 2,100 days under Nagel's direction. Ms. Guida noted at the May 15, 2026 hearing that "over 2100 days of discovery" had occurred and that "nothing substantiating the claims against the parents was produced." Tr. at 17. 2,100 days is nearly six years. Focused two-party discovery does not consume six years. The sprawling multi-defendant discovery that Nagel constructed did — and every one of those 2,100 days was a day the attachment remained in place and Brad's financial destruction continued.

Nagel's interlocutory appeal added two more years. At B.B.'s September 24, 2021 deposition, Nagel objected to and directed B.B. not to answer questions about the nature of the relationship — claiming those questions were outside permissible scope. The trial court ruled on the deposition scope. Nagel, dissatisfied with that ruling, filed interlocutory appeal A-2990-21 — not to challenge a dispositive order, but to challenge a deposition scope ruling on an ongoing discovery matter. The appeal was argued before Judges Accurso, Firko, and Natali on November 10, 2022. The Appellate Division did not decide it until December 31, 2024 — more than two years after argument — issuing a ruling that largely ratified the trial court's approach with only minor modification to the protective order. Those two years are pure Nagel delay: his appeal, his choice, his two-year litigation pause, while the 100% attachment remained in place and Brad continued to be unable to access any funds.

The trial date Nagel calls the "eve" was set only after his own appeal was decided. The June 15, 2026 trial date was established following the December 31, 2024 appellate decision — less than 18 months before Brad filed. It is not a trial date that Brad delayed; it is a trial date that could not be set until Nagel's interlocutory appeal concluded. To invoke that date as evidence of Brad's "eve of trial" bad faith is to credit Nagel for engineering the delay and blame Brad for surviving it.

The structural conclusion is inescapable. A plaintiff who: (1) obtains a 100% attachment of all assets including ERISA accounts at the outset; (2) adds ten defendants to maximize discovery and freeze duration; (3) pursues 2,100 days of discovery; (4) files an interlocutory appeal on a deposition scope ruling that adds two years; and (5) then moves to dismiss the resulting bankruptcy as bad faith — is describing his own strategy, not his opponent's. The forum Brad chose is the statutory forum. The "eve" Nagel manufactured over seven years is his own creation. *Tamecki* does not reach this fact pattern, and no case applying it has found bad faith on facts remotely like these.

Factor 4 — Prepetition Fraudulent Conduct. The trust timing defense is airtight as a matter of statute, and the six-year evidentiary record compiled under Nagel's own direction forecloses the alternative theory as a matter of fact and Rule 9011(b)(3).

As a matter of statute: the trusts were formed December 18, 2012. The first cognizable act giving rise to B.B.'s claims occurred June 20, 2017 — four and a half years later. Under § 548(a)(1), the two-year lookback reaches only to June 12, 2024; the 2012 formations are fourteen years outside that window. Under the NJUVTA actual fraud prong, proof that Brad formed trusts in December 2012 to defraud someone he had not yet met, to whom no debt existed, is logically impossible. SOFA Part 7, Line 19 confirms no self-settled trust transfers within the ten-year lookback window.

As a matter of evidence: both trusts filed detailed motions for summary judgment on January 15, 2026, submitting 68 numbered undisputed facts documenting that every asset transfer was legitimate, documented, arm's-length, and made without fraudulent intent. Every fact was supported by deposition testimony, recorded deeds, third-party closing statements, and bank records. Brad and Kim both testified under oath the trusts were formed for estate planning to benefit their children. B.B. testified she had never heard of either trust before the lawsuit. Every asset sale went to unrelated buyers at documented market prices; B.B. never alleged otherwise. The boat sale was self-reported to the state court and to Nagel himself in real time. The $100,000 never left the SBM Trust. Against this record, Nagel filed no opposition and produced no countering evidence.

Rather than contest the motions, Nagel settled — accepting dismissals with prejudice signed by his own partner — after six years of discovery yielded nothing. He then filed Doc. 8 five months later presenting the same fraud allegations to a federal court. Fed. R. Bankr. P. 9011(b)(3) requires that factual contentions submitted to federal court "have evidentiary support." Six years and 2,100 days of Nagel's own discovery is the evidentiary record on whether the trust-fraud allegations have support, and the record's answer is unambiguous: they do not. A party cannot fail to find evidence in six years of discovery, settle rather than face a summary judgment motion it could not oppose, and then import the same factual contentions into a federal proceeding without sanction.

Factor 5 — Fundamentally Unfair. The "fundamentally unfair" factor asks whether the bankruptcy result would outrage honest creditors. The result Nagel seeks — dismissal — would give B.B. access to $750,000 in escrowed funds while the IRS, NJ Division of Taxation, and Kimberly Mell receive nothing. That is the genuinely unfair outcome. The pari passu destruction runs in the opposite direction from what Nagel claims: if the case is dismissed, B.B. gets 100% of $750,000, the IRS gets zero, the DSO creditor gets zero, and NJ Tax gets zero. The Chapter 7 priority scheme under § 507 prevents exactly this creditor leapfrogging. Congress designed that scheme to protect this very situation.

4. Nagel Manufactured This Bankruptcy

The manufactured insolvency argument runs against Nagel, not Brad. The sequence is clear from the record.

In January 2020, Nagel obtained a prejudgment writ of attachment that froze 100% of Brad's assets, including ERISA-protected retirement funds. Brad filed multiple motions to vacate or modify the attachment to allow access to funds for basic living expenses. Not one was granted. When Brad sought court permission to withdraw from his 401k — even with the applicable tax penalty — to pay basic needs, Nagel vehemently opposed the request. Brad was sanctioned $8,000 for making these requests. He could not access ERISA funds even under penalty of early withdrawal. He could not transfer funds within his retirement accounts to let them grow, representing a significant opportunity loss in a bull market. He could not meet basic living expenses for six years.

Simultaneously, Nagel pursued a litigation strategy of maximum complexity: he added KRM Trust, SBM Trust, Gulfstream CM, Gulfstream GM, Aero Care, Emily Mell, Eliza Mell, Kimberly Mell, W.H. Mell Associates, and Mountainside Securities as defendants — including Brad's own children. As of May 15, 2026, every one of those additional defendants had settled out. Tr. at 21-22 (May 15, 2026). All that complexity, all those years, all that discovery — to produce a case that by May 2026 was the two-party dispute it could have been from the start.

Discovery consumed over 2,100 days. Tr. at 17 (May 15, 2026, Ms. Guida). Nagel filed the interlocutory appeal A-2990-21, argued November 10, 2022 and not decided until December 31, 2024 — more than two years of additional delay attributable to Nagel's own appellate strategy.

Summary judgment was denied on both sides on May 15, 2026 — twenty-eight days before Brad filed bankruptcy. Trial was set for June 15, 2026 — three days after the petition date. The "eve" Nagel invokes was manufactured over seven years by the litigation strategy Nagel controlled. A case in which summary judgment was decided twenty-eight days before filing, after seven years of attachment-driven financial ruin, 2,100 days of discovery, and a two-year interlocutory appeal, is not "eve of trial" bad faith in any sense that *Tamecki* would recognize.

5. Distinguishing Myers and Nagel's Remaining Cases

In re Myers, 491 F.3d 120 (3d Cir. 2007), is binding Third Circuit authority that Nagel invokes. It must be engaged directly. The distinction operates on six independent grounds.

First, *Myers* was a Chapter 13 case. Brad filed Chapter 7. Second, the *Myers* debtor did not meet the § 109 eligibility requirements for Chapter 13. Brad meets all § 109(b) requirements for Chapter 7. Third, the *Myers* debtor's husband withdrew $6,000 in violation of a Pennsylvania court order and used it to pay bankruptcy counsel. No court order has been violated here. Fourth, the state court in *Myers* had announced it intended to rule on the merits before the bankruptcy was filed. Here, trial had not commenced on the date of filing. Filing three days before trial begins is qualitatively different from filing after a court announces its adverse ruling. Fifth, the debt in *Myers* arose from a fraudulent conveyance finding — affirmative debtor misconduct involving fraud. The partial summary judgment here was a discovery sanction for Fifth Amendment invocation during parallel federal criminal proceedings — not a merits adjudication of fraud. The Appellate Division characterized it as "interlocutory and not a final judgment." Appellate Division Op. (Dec. 31, 2024) at fn. 2. Sixth, the debtor in *Myers* created the procedural posture. Here, Nagel created the posture — through the 100% attachment, the opposition to every fund-access request, the multi-defendant litigation, the interlocutory appeal, and the 2,100 days of discovery.

In re Hunt, 521 B.R. 479 (Bankr. M.D. Pa. 2014), actually supports Brad: the *Hunt* debtor had three luxury vehicles and a boat, owed 83% of his debt to one creditor, and dismissal was still denied because the schedules were complete and the filing had a legitimate Chapter 7 purpose. Brad's facts are better than *Hunt* on every dimension.

In re DeSoto (Bankr. D.N.J. 2006) held that a two-party dispute is not per se evidence of bad faith

— which Nagel also appears to have cited in support of the opposite proposition. *In re Berlingeri*, 246 B.R. 196, 198 (Bankr. D.N.J. 2000), addressed § 523(a)(6) on a record that included a consent judgment in which the debtor stipulated to willful and malicious injury — there is no consent judgment here. *In re Eubanks* is distinguishable because that debtor concealed six business entities and three properties; Brad disclosed everything including the funds in Nagel's own trust account. *Mondelli* is not precedential under Third Circuit IOP 5.7.

B. § 523(a)(6) IS PROCEDURALLY DEFECTIVE AND FAILS ON THE MERITS

1. Adversary Proceeding Required

Federal Rule of Bankruptcy Procedure 7001(6) provides that "a proceeding to determine the dischargeability of a debt" is an adversary proceeding. An adversary proceeding is a separate lawsuit governed by Part VII of the Bankruptcy Rules — it requires a complaint (Rule 7003), summons and service (Rule 7004), an answer with affirmative defenses (Rule 7012), Rule 7 discovery, and a trial. Fed. R. Bankr. P. 4007(c) further establishes a 60-day deadline running from the first date set for the § 341 meeting of creditors.

Nagel filed a motion in the main case — Doc. 8. No adversary proceeding has been commenced. The Court lacks the procedural posture to enter a nondischargeability order on a motion. The defect is structural: it denies the debtor the right to plead affirmative defenses in an answer, to conduct discovery on the intent elements that § 523(a)(6) requires, and to present evidence at a full trial before any nondischargeability judgment is entered. The § 523(a)(6) request in Doc. 8 must be denied on this ground alone.

The 60-day adversary deadline must be calendared. If Nagel files a proper adversary complaint within that window, the procedural defect in this motion is cured for purposes of that filing, and the merits would become live in the adversary proceeding under the legal framework set out below.

2. *Lewis v. Long*: Discharge Granted on Factually Comparable — and Arguably More Direct — Sexual Offense Convictions

The most direct answer to Nagel's § 523(a)(6) argument is not a rule of law but a factual precedent. In *Lewis v. Long (In re Long)*, Adv. No. 13-06030 (Bankr. W.D. Va. Jan. 28, 2014), the Chapter 7 debtor, Clyde Alexander Long, Jr. (age 22-23), had a sexual relationship with Crystal D. Lewis (age 12-13) — a victim two to three years younger than B.B. — with whom he conceived and fathered a child. He was criminally convicted of two counts of carnal knowledge under Virginia Code §

18.2-63, a strict liability statute requiring no proof of intent to injure, and sentenced to ten years with seven suspended. Long had also signed a confessed promissory note for $1,254,000 expressly acknowledging that his acts constituted "intentional torts." Crystal Lewis brought a § 523(a)(6) nondischargeability claim. The bankruptcy court granted discharge: Lewis failed to prove either the fact of injury or intent to injure, and the court declined to infer § 523(a)(6) elements from the nature of the offense alone. The district court affirmed. *Lewis v. Long*, Civil Action No. 3:14CV00010 (W.D. Va. Nov. 24, 2014). On remand for a supplemental opinion, the bankruptcy court again rejected the argument that intent to injure is "self-evident" in sexual offense cases. *Lewis v. Long (In re Long)*, 528 B.R. 655 (Bankr. W.D. Va. Apr. 22, 2015). The district court affirmed a final time. *Lewis v. Long (In re Long)*, 550 B.R. 294 (W.D. Va. Mar. 17, 2016).

Long is factually indistinguishable from this case in every essential element: criminal sex offense conviction, minor victim, § 523(a)(6) nondischargeability claim, Chapter 7 discharge sought. And on a candid comparison of the underlying conduct, the Long debtor presented the stronger case for the creditor on every dimension: the victim was 12-13 years old (not 15); the offense encompassed direct physical contact under a strict liability statute; the relationship produced a child; Long had expressly acknowledged "intentional torts" in a signed document. Brad's federal convictions are for receiving child pornography, 18 U.S.C. § 2252A(a)(2), and interstate travel with intent to engage in illicit sexual conduct, 18 U.S.C. § 2423(b). Neither statute requires proof of actual sexual contact as an element. The Long creditor had a conviction establishing the direct physical act with a younger victim plus a signed admission of intentional torts; Nagel has neither. If the more direct Long convictions — involving a 12-year-old victim, a resulting pregnancy, and a signed "intentional torts" acknowledgment — could not satisfy § 523(a)(6)'s subjective intent requirement, Nagel cannot satisfy it here. The *Long* outcome was discharge. The Mell outcome should be the same, a fortiori.

This is the key point Nagel's motion never confronts: *Long* is the controlling factual precedent, and the outcome in *Long* was discharge. Everything else in the § 523(a)(6) analysis is explanation for why *Long* came out that way.

The explanation begins with the Supreme Court. In *Kawaauhau v. Geiger*, 523 U.S. 57, 61 (1998), the Court held that § 523(a)(6)'s "willful and malicious injury" exception "requires a deliberate or intentional injury, not merely a deliberate or intentional act that leads to injury." The Court rejected the inference that because an act is intentional, the resulting injury is necessarily "willful" within the meaning of the statute: "Had Congress meant to exempt debts resulting from unintentionally inflicted injuries, it might have described instead 'willful acts that cause injury.' " *Id.* at 63. Willfulness requires subjective intent directed at the specific injury — what was inside the debtor's own head at the time of the conduct.

The Third Circuit's § 523(a)(6) standard, articulated in *In re Conte*, 33 F.3d 303, 307 (3d Cir. 1994), as reconciled with *Geiger*, requires that the debtor either: (a) purposefully inflicted the injury, or (b) acted with subjective knowledge that injury was substantially certain to result. The "substantially certain" prong is subjective — it asks what this debtor actually knew, not what a reasonable person would have known.

Long applied *Geiger* and *Conte* to sex offense convictions involving a minor and held: (1) "willful and malicious" requires proof of subjective intent to injure, not merely intent to perform the acts that caused injury; (2) where the underlying criminal statute does not require proof of intent to injure, a conviction under that statute cannot supply the § 523(a)(6) element by collateral estoppel; (3) where the record reflects that the other participant acted through their own physical volition and there is no claim of physical coercion, the argument against established intent to injure is bolstered; (4) the inferred-intent doctrine — sometimes applied in cases involving very young children — does not extend universally to teenagers whose conduct reflects apparent volition. Courts are "not permitted to infer such elements solely based on the public policy considerations underlying the antecedent action." *See also In re Basl* (Bankr. E.D. Va. 2018) (applying and extending the *Long* framework on the relationship between criminal pleas and § 523(a)(6) intent).

Nagel's brief invokes a "self-evident" willfulness theory — that intent to injure is obvious from the nature of the offense and need not be separately proved. That argument was squarely rejected in *Long* on materially identical facts. The supplemental bankruptcy court opinion expressly rejected *Doe v. Fleetwood (In re Fleetwood)*, 2013 WL 2178096 (Bankr. D. Alaska May 17, 2013), and *T.K. v. Love (In re Love)*, 347 B.R. 362 (Bankr. W.D. Mo. 2006) — the two cases that had adopted the self-evident theory in sexual offense cases — holding that "the Court is not permitted to infer such elements solely based on the public policy considerations underlying the antecedent action." *In re Long*, 528 B.R. at 660. That principle is directly foreclosed by *Kawaauhau v. Geiger*. The objective inference of intent from the nature of the act is precisely what the Supreme Court rejected, and what *Long* confirms courts may not apply even in sexual offense cases involving minors.

3. Brad's Criminal Pleas Do Not Supply the Missing Element

Nagel argues that Brad's criminal pleas establish § 523(a)(6) "willful and malicious injury" by collateral estoppel. Under the Third Circuit's collateral estoppel standard for § 523(a)(6) proceedings, *In re Docteroff*, 133 F.3d 210, 214-15 (3d Cir. 1997); *In re Wilson*, 116 F.3d 87, 90-92 (3d Cir. 1997), the specific § 523(a)(6) mental state elements must have been "actually litigated and determined" in the prior proceeding. Neither of Brad's two criminal pleas — one federal, one state — satisfies this requirement.

18 U.S.C. § 2252A(a)(2) — receipt of child pornography — requires "knowingly" receiving material. It does not require proof of intent to injure any specific victim. 18 U.S.C. § 2423(b) — interstate travel for illicit sexual conduct — requires travel "with intent to engage in" prohibited conduct. Intent to engage in conduct is not intent to injure. N.J.S.A. 2C:24-4(a)(1) — endangering welfare of a child — addresses the nature of the conduct, not a subjective intent to cause injury to a specific person. Under the *Lewis v. Long* framework, none of these statutes required proof of intent to injure B.B. in the specific manner alleged in the civil complaint. Therefore none can establish the § 523(a)(6) mental state element by collateral estoppel.

The partial summary judgment is similarly unavailing for collateral estoppel. The Appellate Division described it as "interlocutory and not a final judgment" and noted uncertainty about whether Brad even responded to the motion. Appellate Division Op. (Dec. 31, 2024) at fn. 2. What appears to be a discovery sanction under N.J. Court Rule 4:23-5(a)(2) — entered because Brad invoked Fifth Amendment rights during civil discovery while a parallel federal criminal prosecution was pending — involves no evidentiary hearing, no testimony, and no findings of fact on any element of any claim. No judge made a finding that Brad subjectively intended to cause the specific injuries alleged. The constitutionally protected exercise of Fifth Amendment rights during a pending criminal prosecution is not "deliberate prevention of resolution" within the *Docteroff* exception — it has the strongest possible legal justification: the United States Constitution.

4. The Evidentiary Record Negates Intent

The contemporaneous record cuts against the inference of deliberate harmful intent that § 523(a)(6) requires.

B.B. herself sent a text message to her sister on December 4, 2017 — before she had counsel and before the FBI investigation began: "Like 2 months. . . But we didn't even see each other that much. . . I stopped. I said I didn't want to do any of this anymore like a month ago. And that is the truth." Exhibit A to Brad's filed letter. These are not the words of someone recounting a deliberate campaign to injure her.

Contemporaneous therapist notes from 2018 — Exhibits F-H to Brad's letter — reflect that B.B. told her counselor she only wanted Brad "to go away for 3-6 months"; that she was angry at the FBI because "they don't like her because she downplayed what happened"; and that she was "still angry at him and still misses him." These notes reflect ambivalence, not the experience of someone who was the target of a deliberate, knowing decision to cause her harm.

Nagel suppressed the evidence most directly bearing on Brad's subjective state of mind. At B.B.'s deposition on September 24, 2021, Nagel objected to and directed B.B. not to answer every question about consent and the nature of the relationship: "don't answer that question"; "She was 15. You can't ask." B.B. Dep. (Sept. 24, 2021) at 31:24-32:11; 65:2-3. Nagel built a record designed to exclude the testimony most directly relevant to Brad's subjective state of mind, and then argues that Brad's intent to injure is "self-evident" from that record. A party cannot suppress relevant evidence and then argue the suppressed evidence is irrelevant.

Brad's own civil deposition record contains no admission of harmful intent. On advice of criminal counsel, he did not testify about the nature of the relationship during civil depositions while federal criminal proceedings were pending. Nagel has no admission of intent to injure from Brad's own testimony.

The federal court that determined restitution — consulting with B.B. and her family — determined that $80,000 covers the full cost of treating her harm for life. Nagel claims $10 million in the civil action. The gap between $80,000 and $10,000,000 is itself a data point about the characterization of the harm.

The expert record establishes injury but not intent. The only expert report in the record is Dr. Dawn M. Hughes's March 2023 forensic psychological evaluation on behalf of B.B., supplemented in October 2025. Hughes establishes the fact of injury — she provides a PTSD diagnosis and documents B.B.'s current symptomatology. Hughes does not establish, and does not opine on, Brad's subjective intent to cause those specific injuries. The § 523(a)(6) two-element test requires proof of (1) injury AND (2) subjective intent to injure. *Kawaauhau v. Geiger*, 523 U.S. at 61; *In re Long*, 528 B.R. at 657-58. The creditor's own expert satisfies element (1). Element (2) — what was inside Brad's head — remains without expert support.

Independent causation events undermine apportionment. Hughes herself acknowledges in her March 2023 report that B.B. experienced "a sexual assault in high school after the disclosure of the Mell abuse" and that this assault "qualifies as a Criterion A traumatic stressor" under the DSM-5 criteria for PTSD. Hughes attempts to neutralize this by characterizing the school assault as derivative of the Mell trauma — arguing that B.B. "had no psychological coping resources to defend herself because of the traumatic stress she was dealing with as a result of the Mell abuse." But Hughes provides no validated apportionment methodology for separating which symptoms are attributable to Mell versus the independent school assault. She simply concludes, without methodology, that the school assault "is not manifesting" separately. No court has accepted that type of bare conclusory apportionment from a retained expert as sufficient to trace a specific quantum of harm to a specific defendant. Notably, no treating clinician documented the school assault: Dr. Cowen's records extend through January 2020 — covering the period when the school assault would have occurred — yet contain no reference to it as a clinical stressor. This silence undermines Hughes's characterization of its significance.

Pre-existing conditions are an additional independent factor. Multiple treating records document that B.B. had pre-existing anxiety, social isolation, and bullying-related insecurity before any contact with Brad. Dr. Cowen's initial psychiatric evaluation (July 18, 2018) documents "life-long anxiety," "separation anxiety as a little kid," and bullying during "sophomore year (catholic school)" where she was "told she was ugly." Dr. Robinson's initial session note (August 16, 2017) — before B.B. had disclosed the Mell relationship to anyone — documents "longtime social issues since elem school," pre-existing social anxiety, depression, and low self-esteem related to appearance. Somerset Psychological records (December 27, 2017) likewise document B.B.'s pre-existing vulnerability. Hughes acknowledges this history but reframes it as "vulnerability factors" that Mell exploited — folding them into his causal column rather than treating them as independent contributing causes. That reframing is a litigation conclusion, not a forensic methodology. In the adversary proceeding, an independent expert scoped to the *Geiger*/*Long* intent question — and to the apportionment of harm between Brad's conduct, the independent school assault, and the pre-existing conditions — would expose the significant methodological gaps in Hughes's framework.

5. Parents' Comparative Fault Affects Claim Value

Judge Gardner's May 15, 2026 bench ruling sent contribution and indemnification claims against the parent defendants D.D. and E.E. to trial. Tr. at 33-34 (May 15, 2026). The parents had actual knowledge of Brad's prior relationship with B.B.'s older sister C.C. for more than 500 days before the relationship with B.B. began. They extracted substantial financial benefits while facilitating access — including a $25,000 payment from Mell deposited by Laura Cannon on July 21, 2017, during the period of the relationship. They delayed law enforcement's investigation by 17 days while pursuing a $10 million settlement. Under N.J.S.A. 2A:53A-1 (New Jersey Joint Tortfeasors Contribution Law) and N.J.S.A. 2A:61B-1 (CSAA), the parents bear a significant share of any damages ultimately determined. The apportionment of fault between Brad and the parent defendants — a factual question for the jury — directly affects what Brad's individual share of any damages would be.

The medical records establish that the parental home environment — not Brad's conduct alone — was an independent and ongoing source of B.B.'s psychological distress throughout the treatment period. Dr. Cowen's progress notes document repeatedly that B.B.'s mother Laura was clinically depressed and that this directly drove B.B.'s symptoms: "in NJ she can get down from mom who is depressed" — specifically contrasted in the same session with "has not been sad at school." Somerset Psychological records document B.B.'s distress from her mother's emotional state, including text messages B.B. described that reflect her confusion and anguish about her mother's conduct and the family dynamic. B.B. told her therapist she believed Mell "had an obsession with destroying her family" — a framing that implicates the family relationships as the epicenter of her distress, not the conduct itself in isolation. No psychological expert has opined on whether the parents' conduct — their knowledge, their financial arrangements with Mell, their failure to protect, and their own emotional deterioration documented across multiple treating records — operated as an independent proximate cause of B.B.'s psychological harm, separate from and in addition to anything attributable to Brad. That apportionment gap is a jury question, not a question the Court can resolve on the § 523(a)(6) intent element.

C. STAY RELIEF UNDER § 362(d)(1) MUST BE DENIED

Nagel's § 362(d)(1) stay relief argument is almost entirely derivative of the § 707(a) bad faith argument. Doc. 8-1 asserts that "Mell has sought bankruptcy in bad faith" and that the stay should be lifted "for the same reasons which support dismissal of this case." If the § 707(a) motion fails — as it does for all the reasons set out above — the sole stated "cause" for stay relief disappears.

The twelve-factor analysis from *In re Mid-Atlantic Handling Systems* counsels against stay relief on these specific facts. The balance of harms strongly favors the debtor: Brad faces multi-forum litigation while surviving on a $1,052 monthly deficit from his brother's discretionary goodwill; Nagel's firm holds physical custody of $750,000 in attached estate funds in its own trust account. The "harm" to Nagel from the stay is that he must pursue B.B.'s claim in the proper forum — an adversary proceeding before Judge O'Hagan — rather than in state court where he controls the attached funds.

B.B.'s claim is unliquidated, contingent, and disputed. Stay relief to permit a state court damages trial while the § 523(a)(6) dischargeability question remains unresolved would produce a judgment whose dischargeability the Court must then determine regardless. The result is two courts adjudicating the same underlying facts with duplicated effort and potential preclusion problems.

The priority distribution concern is dispositive. Lifting the stay to allow a state court judgment would, combined with the existing prejudgment attachment, give Nagel a path to 100% of the $750,000 in escrowed funds — while the IRS, NJ Division of Taxation, and Kimberly Mell's DSO receive nothing. The IRS and DSO hold claims senior to B.B.'s under § 507 and nondischargeable under § 523(a)(1) and § 523(a)(5) respectively. Lifting the stay to allow a state court judgment leapfrogs two nondischargeable priority creditors for the benefit of a third creditor whose claim is unliquidated and whose dischargeability is genuinely contested. That is the Code's priority scheme being circumvented, not enforced.

The proper vehicle for B.B.'s § 523(a)(6) claim is an adversary proceeding before Judge O'Hagan under Fed. R. Bankr. P. 7001(6) and 4007(c). That is where Congress placed this determination, and that adversary proceeding provides B.B. with a full opportunity to present evidence and obtain a ruling on dischargeability without disrupting the orderly distribution to priority creditors.

D. NAGEL RICE WILLFULLY VIOLATED THE AUTOMATIC STAY

The automatic stay arose the moment Brad filed his petition on June 12, 2026. 11 U.S.C. § 362(a). The Third Circuit's § 362(k)(1) framework, established in *In re Lansaw*, 853 F.3d 657, 669 (3d Cir. 2017), requires three elements for a willful stay violation: (1) the stay was in effect; (2) the violating party had knowledge of the stay; and (3) the violating party intentionally committed the act that violated the stay. All three elements are established here.

On June 15, 2026 — the date trial had been set to begin in the state court action — Sari Blair Placona spoke with Michael Paragano of Nagel Rice. Paragano confirmed that Judge Gardner had acknowledged Brad's bankruptcy filing on the record that day. This constitutes admitted knowledge of the bankruptcy filing — and thus of the automatic stay — by Nagel Rice LLP as of June 15, 2026.

On June 18, 2026, at 4:58 PM — three days after that acknowledged knowledge — Paragano emailed Brad directly. The email asserted that "our prejudgment attachment includes any and all vehicles in your possession, including, but not limited to the 1995 Ferrari that you testified to owning during your deposition" and instructed Brad "you should not undertake any efforts to remove the vehicle from the state." Paragano email (June 18, 2026, 4:58 PM).

This email violated the automatic stay in at least four independent respects. First, it constituted direct contact with a represented debtor in an active Chapter 7 proceeding. Second, it asserted the firm's right to control property of the bankruptcy estate — the 1995 Ferrari is property of the estate under 11 U.S.C. § 541. Third, it was an act to enforce a pre-petition lien (the prejudgment attachment) against property of the estate, in violation of § 362(a)(4) and (a)(5). Fourth, it was an act to collect a pre-petition claim, in violation of § 362(a)(6).

Willfulness under *Lansaw* requires only knowledge of the bankruptcy plus an intentional act. Knowledge of the specific stay provisions is not required — only knowledge of the bankruptcy itself. *In re University Medical Center*, 973 F.2d 1065, 1068 (3d Cir. 1992). Good faith belief that the stay does not apply is not a defense. Paragano had admitted knowledge of the filing as of June 15. The June 18 email was a deliberate act. The willfulness element is plainly satisfied. Agency principles impute Nagel's knowledge — which arose from his own appearance and filings in this proceeding — to Paragano as his law partner.

As established in the record, the prejudgment attachment Paragano sought to enforce was from a state court case that had been dismissed. The attachment's legal foundation dissolved when the underlying action was dismissed. The email may have been asserting a legally nonexistent right, post-petition, against a represented debtor, in violation of the federal bankruptcy stay.

Under § 362(k)(1), a willful stay violation entitles the debtor to recover actual damages — including attorney's fees incurred in responding to the violation — and in appropriate cases punitive damages. *In re Lansaw*, 853 F.3d at 669. The attorney's fees incurred in opposing Doc. 8 flow directly from the Paragano email and the conduct it represents. Punitive damages are warranted where, as here, the violating party had admitted actual knowledge, was represented by experienced bankruptcy counsel, and committed a direct and deliberate act of direct contact with a represented debtor to assert control over estate property.

E. ABSTENTION IS NOT AVAILABLE

1. Mandatory Abstention Fails as a Threshold Matter

As identified in the Preliminary Statement, Nagel's motion cites "28 U.S.C. § 1134" — a statute that does not exist in Title 28. The bankruptcy abstention provisions are at 28 U.S.C. § 1334(c)(2) (mandatory) and § 1334(c)(1) (permissive). The Court will treat the motion as invoking § 1334.

Mandatory abstention under § 1334(c)(2) is categorically unavailable for core proceedings. The § 523(a)(6) nondischargeability determination is expressly enumerated as a core proceeding under 28 U.S.C. § 157(b)(2)(I): "Core proceedings include but are not limited to the following: . . . (I) determinations as to the dischargeability of particular debts." A core proceeding arises under or arises in title 11 by definition. Section 1334(c)(2)'s mandatory abstention requirement applies only to proceedings "related to" a case under title 11 "but not arising under title 11 or arising in a case under title 11." Because the § 523(a)(6) determination is a core proceeding that arises under title 11, mandatory abstention is unavailable as a matter of statutory text. *Stoe v. Flaherty*, 436 F.3d 209, 213 (3d Cir. 2006) (mandatory abstention unavailable for core proceedings). This dispositive point alone defeats Nagel's mandatory abstention argument.

2. The Stoe Five-Factor Test

Stoe v. Flaherty, 436 F.3d 209 (3d Cir. 2006), sets out the five elements required for mandatory abstention under § 1334(c)(2): (1) a timely motion to abstain; (2) the action is based on a state-law claim or cause of action; (3) the action relates to a bankruptcy case but does not arise under or in title 11; (4) the action was commenced in a state court of appropriate jurisdiction; and (5) the action can be timely adjudicated in the state court. All five must be satisfied. At minimum, three fail independently here.

Element (2) fails because the § 523(a)(6) determination does not merely "relate to" the bankruptcy case — it arises directly under 11 U.S.C. § 523. This element's failure is dispositive.

Element (3) fails because the bankruptcy court has exclusive jurisdiction over § 523(a)(2), (4), and (6) dischargeability determinations regardless of § 1334. Fed. R. Bankr. P. 4007's advisory committee note confirms this exclusivity. An action over which the bankruptcy court has exclusive statutory jurisdiction cannot satisfy the requirement that there be no independent basis for federal jurisdiction absent § 1334.

Element (5) fails because the state court action cannot be "timely adjudicated" — it is stayed. The state court cannot proceed with B.B. v. Mell while the automatic stay is in effect. Mandatory abstention requires the state court to be able to advance the proceeding; the bankruptcy stay prevents exactly that. This creates a circular impossibility that the statute does not contemplate and that Nagel's argument cannot resolve.

Moreover, the Court must adjudicate the § 707(a) motion, the § 523(a)(6) adversary proceeding, and the § 362(k) stay violation claim regardless of what happens to the state court action. Returning the damages question to state court while these three bankruptcy court issues remain here would create parallel adjudication of the same underlying facts with no efficiency gain. *In re Schlein*, 8 F.3d 745 (11th Cir. 1993) (courts should not abstain when bankruptcy issues are central); *In re World Solar Corp.*, 81 B.R. 603 (Bankr. S.D. Cal. 1988) (abstention inappropriate where creditor seeks to re-litigate already-contested factual issues).

3. Permissive Abstention

Permissive abstention under § 1334(c)(1) is not warranted. On judicial economy: the Court must adjudicate the § 523(a)(6) dischargeability claim, the § 707(a) bad faith motion, and the § 362(k) stay violation. Returning only the damages question to state court creates parallel proceedings with the same underlying facts litigated in multiple forums. No judicial resources are saved.

On fairness: abstention would allow Nagel to obtain a state court damages judgment that the Court would then assess for dischargeability, meaning two courts adjudicate the same facts, the debtor litigates on two fronts simultaneously while surviving on a $1,052 monthly deficit, and the Code's orderly distribution scheme is disrupted. *In re WorldCom, Inc.*, 293 B.R. 308 (Bankr. S.D.N.Y. 2003) (permissive abstention should not deprive the debtor of bankruptcy protection when Congress has determined that the Code governs the matter); *In re Salem Mortgage Co.*, 783 F.2d 626 (6th Cir. 1986) (courts should be reluctant to abstain from proceedings that will affect estate administration).

The motion's internal incoherence provides the cleanest illustration of why abstention is unworkable. Nagel simultaneously asks the Court to: (a) abstain and return the matter to state court; and (b) declare the debt nondischargeable under § 523(a)(6). Those positions are irreconcilable. The § 523(a)(6) determination requires the Court to make findings about the nature and circumstances of the underlying injury — the very findings Nagel claims should go to state court. A court cannot abstain from the predicate facts while retaining the federal legal conclusion.

F. TAX DEBT DISCHARGEABILITY — § 523(a)(1) ANALYSIS

The characterization of all IRS and New Jersey Division of Taxation debt as non-dischargeable priority debt requires an important qualification that affects the priority waterfall analysis. Under 11 U.S.C. § 523(a)(1)(A), read with 11 U.S.C. § 507(a)(8)(A)(i), income taxes are non-dischargeable priority debt only if the applicable tax return was due "after three years before the date of the filing of the petition." Brad's petition was filed June 12, 2026. Tax returns due before June 12, 2023 fall outside the three-year lookback.

Tax year 2022: the return was due April 15, 2023 — approximately 3 years and 58 days before the June 12, 2026 petition date. If Brad filed his 2022 tax return timely, the taxes for that year were not assessed within 240 days of the petition date under § 507(a)(8)(A)(ii), and there is no fraud or willful evasion issue under § 523(a)(1)(C), then the 2022 income tax liability would not qualify as a priority claim and would be potentially dischargeable as a general unsecured obligation. Tax years 2021 and earlier — with returns due April 2022 and prior — are well outside the three-year window.

This analysis does not mean these taxes are definitively dischargeable. The outcome depends on whether extensions were filed (which would affect the "due date" calculation), whether there are assessments within 240 days, and whether there is any fraud or willful evasion issue. But the categorical treatment of all tax debt as non-dischargeable priority debt is incorrect and should be corrected in the priority waterfall analysis. The practical consequence: if a portion of the IRS and NJ Tax claims relates to pre-2022 tax years and is dischargeable, the distribution to B.B. as a general unsecured creditor is affected accordingly. Tax years 2023 and later — returns due April 2024 and after — remain within the three-year lookback and retain priority non-dischargeable status under § 523(a)(1)(A) and § 507(a)(8). The tax year-by-year analysis must be conducted using the specific tax years identified in the IRS and NJ Tax proof of claims when filed.

G. THE ATTACHMENT IS THE STRUCTURAL PROBLEM

The January 27, 2020 prejudgment attachment is the structural cause of Brad's bankruptcy, and denying Doc. 8 allows the Chapter 7 process to distribute the available funds according to the Code's priority scheme — the outcome Congress designed for exactly this situation.

No published case has been found supporting attachment of 100% of an individual defendant's assets, including ERISA-qualified retirement accounts that are categorically exempt from creditor process under federal law. The attachment in this case rested on fraud allegations that were never adjudicated on the merits, that the March 2026 Trust Settlement implicitly refuted — Nagel's client accepted a settlement from those same trusts and released claims against their assets — and that the trusts' own summary judgment litigation contested on the record.

The practical consequences of the 100% attachment are severe and unevenly distributed. The IRS has been waiting, since at least the tax years at issue, to be paid on $300,000 in federal tax claims. It cannot be paid because Nagel's attachment holds 100% of the available non-exempt funds. Kimberly Mell's domestic support obligation — a first-priority nondischargeable claim under 11 U.S.C. § 507(a)(1) and § 523(a)(5) — cannot be paid for the same reason. The New Jersey Division of Taxation's $75,000 in priority claims cannot be paid.

If the Court dismisses the bankruptcy, the Chapter 7 distribution mechanism dissolves. With the automatic stay lifted, Nagel's attachment — combined with his physical custody of $750,000 in the Nagel Rice trust account — gives Nagel a clear path to 100% of those funds, while the federal government, Kimberly Mell, and the New Jersey tax authorities receive nothing. That is the pari passu destruction Nagel's motion seeks to accomplish. This motion is not a neutral request to return matters to their pre-petition posture. It is a request to give B.B. and Nagel Rice 100% of the available funds while every other creditor — including those with statutory priority under § 507 — receives zero.

The Bankruptcy Code was designed to prevent exactly this outcome. The orderly Chapter 7 distribution through the priority waterfall — § 507(a)(1) DSO first, § 507(a)(8) tax claims eighth, general unsecured creditors sharing the remainder — is the mechanism by which Congress chose to balance competing creditor interests. B.B.'s proper path to recovery, if her claim is established and if it is not dischargeable, is through the adversary proceeding process under Fed. R. Bankr. P. 7001(6) and 4007(c), with distribution through the priority waterfall. Dismissal bypasses that process for the sole benefit of one creditor.

SECTION 4: CONCLUSION

Doc. 8 should be denied in its entirety.

The § 707(a) motion fails because it describes the opposite of what *Tamecki* requires. Egregious bad faith means concealed assets, a lavish lifestyle, and fraud-like conduct. What Brad's verified schedules show is a recently released federal prisoner surviving on his brother's discretionary support, disclosing every asset — including the $750,000 held in Nagel's own trust account — down to the make and model of a 1995 automobile. The Glunk factors are not merely unmet; they are reversed. The "eve of trial" framing collapses once the full timeline is examined: the trial date was the product of seven years of Nagel's own litigation choices — a 100% attachment that denied Brad access to any funds, ten additional defendants including Brad's children, 2,100 days of discovery, and a two-year interlocutory appeal that Nagel himself initiated. A manufactured crisis is not the debtor's bad faith.

The § 523(a)(6) motion is procedurally defective and substantively without basis. It should have been filed as an adversary complaint under Fed. R. Bankr. P. 7001(6) — it was not. On the merits, *Lewis v. Long* governs: a debtor convicted of carnal knowledge of a 12-year-old victim who fathered her child and signed a note confessing intentional torts obtained discharge because subjective intent to injure cannot be inferred from criminal conviction. Brad's record is less direct on every dimension that matters under § 523(a)(6). The creditor's own expert documents injury without opining on Brad's mental state. An independent assault at school appears in that expert report as a clinically recognized traumatic event without any apportionment between that event and the Mell conduct. Pre-existing anxiety and years of bullying are documented across multiple treating records before any Mell contact. The parental home environment is independently identified in the treatment records as a driver of B.B.'s symptoms. The § 523(a)(6) intent element — what was subjectively inside Brad's head — has no evidentiary support, cannot be inferred, and must be adjudicated in a properly filed adversary proceeding where Brad has the right to answer, discover, and present evidence.

The stay violation is not remediated by filing Doc. 8 — it is compounded by it. Paragano emailed the represented debtor three days after his firm acknowledged the bankruptcy filing in open court, asserted control over estate property, and instructed Brad not to move a vehicle. That is a willful violation under *Lansaw* with no colorable defense. The appropriate remedy is sanctions under § 362(k)(1), not a reward in the form of the relief the violating party then seeks.

Mandatory abstention is unavailable for § 157(b)(2)(I) core proceedings — this is black-letter law the § 1134 citation error confirms was not carefully researched. Permissive abstention would fracture a single factual dispute across two forums, require both courts to adjudicate overlapping facts, and strip priority creditors — the IRS, NJ Division of Taxation, and Kimberly Mell — of their § 507 rights while Nagel obtains a direct path to 100% of the attached funds. That is the opposite of what the Code's distribution scheme was designed to accomplish.

The trust-fraud predicate that runs through all four forms of relief requested in Doc. 8 was tested for six years under Nagel's own direction. The trusts' January 2026 summary judgment motions reduced the full factual record to numbered undisputed facts covering every transaction at issue — the Bedminster home sale, the two aircraft sales, the boat disposition, and the $100,000 intra-trust transfer — all supported by third-party closing documents, sworn testimony, and bank records that Nagel had possessed for years. He filed no opposition, produced no countering evidence, and settled. His partner signed the dismissals with prejudice. When the same allegations reappear in a federal filing five months later, they carry the full weight of that evidentiary history behind them. The disclosure required by N.J. RPC 3.3(a)(5) — that the same trusts Nagel now characterizes as fraudulent were settled with, on terms that released any current or future collection claims against their assets — must be made at the July 16 hearing.